

SpaceX (SPCX)

No Free Launch; Initiate at OW

Credit sentiment is decidedly weak; while SPCX has large funding needs, it also has levers and massive earnings potential. We do not expect SPCX to be a straight line, but expect the credit narrative to improve and for spreads to recover some of the ~60bp of underperformance since issuance.

★ SIGNATURE

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Trade recommendations: Buy SPCX 2036s; Buy SPCX and ORCL 2056s against selling CHTR/META 2056s

- **The outlook is very bullish.** Connectivity and AI have considerable growth (and disruption) potential, and the company is in a position of strength. Starlink will likely consolidate broadband share from cable (although we are skeptical of mobile ambitions without a telco partnership) and SPCX is entering the hyperscaler market at the sweet spot for third-party compute.
- **Credit is more nuanced than equity, but SPCX is unlikely to be the wrecking ball that the debt market initially views it as.** As the primary funding vehicle, upside expectations for credit should be tempered, but current levels are still attractive. Given the earnings trajectory, SPCX leverage is not the issue; cash flow is. We model a FCF burn of ~\$75bn/year in 2027-28, but funding needs do not kick in until mid-2027.
- **Will use funding levers; expect management to strike a credit-supportive tone.** SPCX is likely to pull working capital and customer prepayment levers to manage the cash burn. Given its relatively recent entry into the IG market, we expect the company to be proactive in engaging with the credit market early. Uncertainty is the enemy of credit, and we think SPCX knows this.
- **Trust the vision, not the timeline.** History suggests that Musk's companies generally achieve their goals, but the timelines are usually longer than initially planned. We heavily discount the pace of orbital compute growth that Musk and SPCX have suggested; if we are wrong, capex could be higher than we model.
- **SPCX is a tactical long with a cleaner six-month runway than most hyperscalers.** SPCX is unlikely to issue until 1H27 and headline catalysts in the meantime should be positive for sentiment and earnings momentum: compute

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contract wins, Starship milestones and broadband constellation progress. A telco partnership looks less likely, in our view, but would be a meaningful positive catalyst.

- **Fair value is 40-50bp back of META versus ~70bp back currently in the long end.** While SPCX is trading much closer to ORCL today, both have the ability to compress, and we think SPCX will live closer to the ORCL side of the range for now, but can compress versus META as EBITDA materializes and as funding clarity and credit engagement improve. Most investors compare SPCX versus ORCL; we do not view these as mutually exclusive longs.

Barclays Rating: Overweight

Moody's/S&P/Fitch: Baa1(Stable)/BBB(Stable)/BBB+(Stable)

Initiate on SpaceX at Overweight

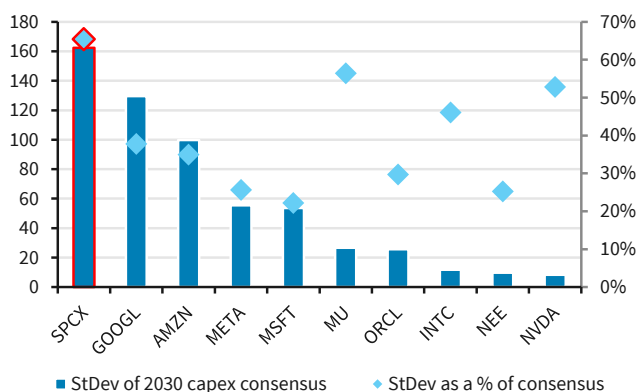
The 10k Foot View on SPCX Fundamentals

- **Bullish on broadband, skeptical of mobile without a partnership.** Satellite internet has a significant opportunity, and the technology exists for speeds competitive with fiber. The gating item for adoption is pricing, but as costs come down, satellite can eventually take the role of FWA and consolidate market share from cable. However, broader adoption could require a converged offering with mobile. While SPCX has outlined plans to enter the US market via its own infrastructure build (implicitly validating the telco strategy), the reality is that physics likely limit the ability for satellite to truly compete with terrestrial wireless (see [TMT Classroom](#) from our Equity Research colleagues). Although we do not doubt that SPCX is willing to move forward on its own, we strongly believe that a partnership/MVNO is the preferred path forward. The big three US telcos have gone to great lengths to downplay this potential, but we do not think it should be fully discounted. In other words, **we would not rule out a scenario in which one of the telcos decides to partner. In our view, T-Mobile could be a logical fit**, given its existing satellite to phone partnership and narrower broadband roadmap outside of fixed wireless, though we don't speculate on the likelihood of this.
- **AI is a land business for now; orbital will probably take longer than expected.** For all intents and purposes, SPCX is a ground-based hyperscaler in the near term. We model the company ending 2027 with ~6GW of active power; well below the implied guidance (~8-9GW¹), this still represents an incredible pace of development. SPCX is hitting the sweet spot of AI infra, as it is adding merchant capacity in the midst of a very tight spot market, allowing it to quickly monetize capex at materially higher levels than peers that locked into contracts historically. The durability of these contracts is questionable (180-day cancellation options), but for now, SPCX is doing exactly what it should in the compute arena – monetizing quickly and capturing the premium to subsidize further investment. Orbital compute gets a lot of attention, but we are skeptical of the timeline to get to scale (management has implied a 100GW/y pace around the end of the decade). We model SPCX adding ~15GW of orbital compute by YE30 and see capex intensity only slightly lower than terrestrial compute by then. Our main view here is that **orbital could be a massive differentiator in the long term, but within this decade, we expect the ramp to be slower and costs to be higher than widely advertised.**

¹ Per 2Q26 call, SPCX expects to end 2027 with closer to 10GW than 5GW of active power.

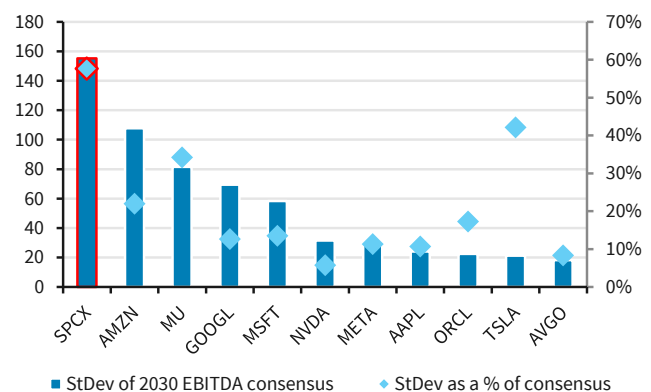
- **The range of outcomes (and estimates) is wide.** While we would like to claim high conviction on our multi-year assumptions, SPCX's outlook is subject to massive variability depending on a number of factors. This is evident in consensus estimates, with its 2030 capex and EBITDA carrying the highest standard deviations in the S&P 500, both in outright dollar terms and in relative terms (Figure 1 and Figure 2). We are bullish on the earnings trajectory in Connectivity and AI, but also see capex cannibalizing cash from operations through 2029 and model ~\$180bn of cumulative funding needs through 2030. Similar to ORCL, we model gross and net capex, in this case the difference being driven by working capital timing aspects (extending payables for compute purchases). We do not explicitly account for customer prepaids at this point, but see this as a possible lever for SPCX to pull. Given the level of uncertainty, we expect management to take a proactive approach to engaging with credit markets, similar to what ORCL and META have attempted to do in the past year. Our thoughts on the funding outlook are outlined in [Capex and Funding Outlook](#).

FIGURE 1. SPCX has the highest variability in 2030 capex estimates of any company in the S&P 500...



Standard deviation of Bloomberg's 2030 capex consensus (in billions, left axis);
Standard deviation as a % of Bloomberg 2030 capex consensus (right axis).
Source: Bloomberg, Barclays Research

FIGURE 2. ...and the same is true for EBITDA



Standard deviation of Bloomberg's 2030 EBITDA consensus (in billions, left axis);
Standard deviation as a % of Bloomberg 2030 EBITDA consensus (right axis).
Source: Bloomberg, Barclays Research

Favorable Setup For the Narrative to Improve

The SPCX 10y and 30y notes priced at +140bp and +175bp in late June. Since then, spreads are 60-65bp wider while the momentum of the business has improved (2Q earnings/outlook; compute monetization potential). Ultimately, a lot of hyperscaler performance comes down to funding needs, and we see SPCX adding \$180bn of debt through 2030 assuming no chip financing or equity funding, which would be no small feat. However, SPCX is a relatively under-owned ticker, in our view, and constitutes a small part of the index today. More importantly, we see positive business catalysts on the horizon and expect management to be proactive in its engagement with the credit market. So while it is true that SPCX will be a large debt issuer, we believe this is already in the price, with spreads near ORCL.

- **No funding needs until mid-2027.** We model ~\$180bn of funding needs through 2030 and assume all of this comes from the debt market. However, given the starting point for liquidity and the near-term earnings trajectory for AI and Connectivity, SPCX does not have funding needs until 3Q27, though we expect the company to be back in the market in 1Q27 or 2Q27.
- **Favorable positioning and index.** At \$25bn, SPCX is a small part of the TMT sector today and pales in comparison to the size of the other hyperscalers. We also believe that asset managers and insurance companies are relatively light in the name, especially in the longer-dated

notes. While we think SPCX will continue to issue in the future, the starting point for positioning is arguably better than the other hyperscalers, where ticker concentration has become an issue. The fact that SPCX does not have data center bonds or IG chip financing also helps the setup.

- **No ratings pressure.** The agencies recently installed ratings on the credit at Baa1/BBB/BBB+. We project leverage to remain low and see limited pending liabilities compared with its hyperscale peers (no pending leases; \$28bn of contractual commitments). Although we do not expect immediate action for any of the peers, we argue that the agencies are likely closer to Negative outlooks/downgrades of the higher-quality hyperscalers than they are with SPCX.
- **Positive fundamental catalysts.** Achieving Starship milestones like rapid reusability, making progress on the broadband v3 constellation, and signing additional compute contracts supports the bullish case for earnings. Given Musk's track record, we think the market is giving SPCX the benefit of the doubt, and any progress on the company initiatives should further legitimize SPCX's role as the disruptor, particularly in Connectivity. A telco MVNO/partnership would also be bullish, albeit we think this is less likely in the near term.

Framing Relative Value vs. META and ORCL

Coming into the SPCX bond offering, there were two camps of thinking: the more optimistic view was that SPCX should be viewed as a comp for Meta, Comcast and the US telcos, given similar ratings and businesses and low starting leverage. The more cautious camp anchored relative value off of ORCL and CHTR, citing the potential for very large FCF burns being subsidized by debt funding. We are somewhere in the middle; while we believe SPCX will trade closer to ORCL than META in the near term, we view both as important comps for the credit. While we also use CMCSA/CHTR as comparables given the natural competitive dynamic versus the cable companies, both have become somewhat idiosyncratic M&A stories recently and can move independent of the broader hyperscaler complex.

Our view of fair value: 40-50bp back of META; 20-30bp inside of ORCL. For context, SPCX 30y notes priced ~40bp back of META and ~40bp inside of ORCL in late June and have widened by 60-65bp since, underperforming both peers by about 25bp. In our view, SPCX should trade closer to the ORCL side of the range in the near term. However, we have a positive view on ORCL (OW) at these levels and expect the company to rely less on the USD unsecured market than peers going forward. In other words, SPCX and ORCL are not mutually exclusive longs.

FIGURE 3. SPCX has underperformed META/ORCL by 25-30bp since issuance in late June

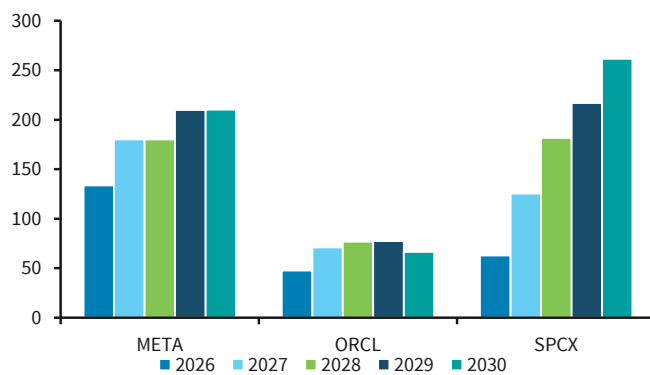
10Y Notes	SPCX 2036	META 2036	ORCL 2036
Spread @ SPCX new issue (June 23)	140	85	160
<i>SPCX differential</i>		55	-20
Current spread	199	108	208
Widening since June 23	59	23	48
<i>Current SPCX differential</i>		91	-9
<i>SPCX relative underperformance</i>		36	11
30Y Notes	SPCX 2056	META 2056	ORCL 2056
Spread @ SPCX new issue (June 23)	175	135	215
<i>SPCX differential</i>		40	-40
Current spread	240	172	254
Widening since June 23	65	37	39

10Y Notes	SPCX 2036	META 2036	ORCL 2036
Current SPCX differential		68	-14
SPCX relative underperformance		28	26
Benchmark spread			
Source: Bloomberg, Barclays Research			

There is plenty of nuance in the SPCX-ORCL-META comparisons that should be unpacked:

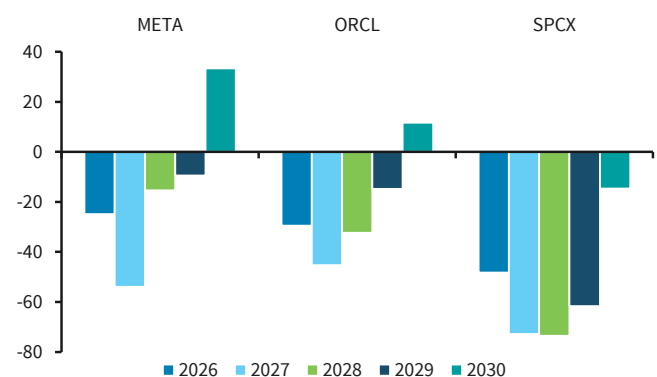
- Leverage:** SPCX has very modest leverage, and we expect it to remain that way. ORCL has the highest leverage of the hyperscale peers, but we see only modest upside from current levels. ORCL's gross agency adjusted leverage was 4.2x as of F4Q26, and we expect it to peak at 4.4x in F1Q28, and then moderate with improving cash flow and EBITDA. We forecast META will likely remain more moderately leveraged, given its stronger EBITDAR base, with a peak of 1.6x on an agency-adjusted basis.
- Cash burn:** We model SPCX burning ~\$75bn/y in 2027-28 before narrowing in 2029-30, but remaining FCF negative. We expect ORCL to burn ~\$50bn in fiscal 2027, declining to ~\$40bn in 2028, and turning breakeven to marginally positive in 2030. We expect META to burn ~\$70bn of cash in 2027-28 inclusive of taxes paid related to share settlements, before inflecting well above breakeven by 2030.

FIGURE 4. SPCX, ORCL, and META capex forecasts



Calendar-year basis
Source: Barclays Research

FIGURE 5. SPCX, ORCL, and META FCF forecasts

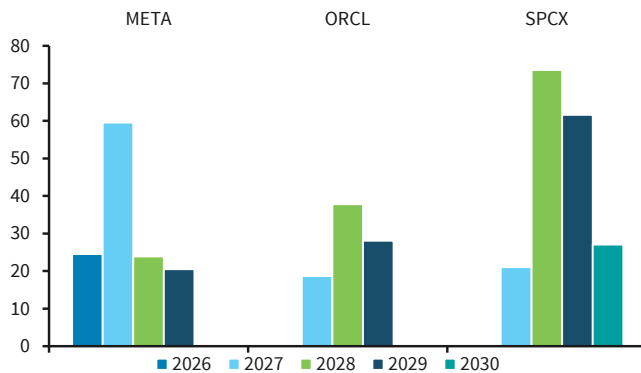


Calendar-year basis, META FCF inclusive of taxes related to share settlement
Source: Barclays Research

- Funding needs:** Based on our estimates, SPCX has a \$180bn funding need through 2030 (gross and net, given no maturities until then). ORCL has a \$100bn gross (\$80bn net) funding need over that horizon, and does not need funding by fiscal 2030; ORCL is likely to use alternative funding markets beyond debt (discussed next). We see meaningful funding needs from META (\$100bn+) through FY28, and expect more moderate incremental needs in 2029 and beyond, though we acknowledge that this is largely dependent on the company's compute capacity ambitions.
- Funding mix:** SPCX's IPO message was that it hoped this was its last equity deal, and from a leverage standpoint, it has more than enough capacity to fund its capex in the debt market. Equity is not off the table, but is unlikely, in our view, unless capex is meaningfully higher than our estimates or if credit market receptivity forces the company in that direction. ORCL has committed to ~50% equity financing in calendar 2026, and we suspect that it used a meaningful portion of the \$20bn ATM program in the current quarter (see discussion in [CDS Playbook](#)). Given its ratings position and market fatigue in the name, we expect equity to be

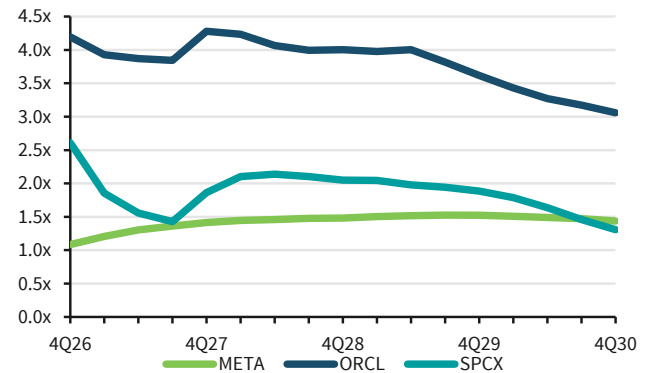
used on an ongoing basis and be part of the mix in calendar 2027. We expect META to rely heavily on the debt market as well, and while it could diversify into foreign currencies to ease pressure on the USD market, we do not expect the company to use equity in the near term, given what remains an under-leveraged balance sheet when weighed against its ratings thresholds.

FIGURE 6. SPCX, ORCL, and META funding needs forecast



Source: Barclays Research

FIGURE 7. SPCX, ORCL, and META gross leverage forecast

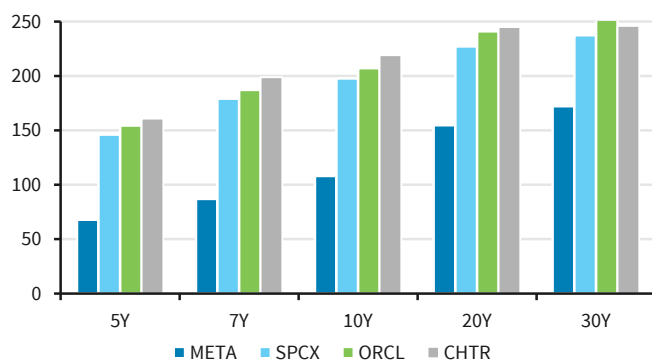


Agency-adjusted gross debt/EBITDAR basis
Source: Barclays Research

- Non-AI business strength:** We expect AI to quickly become the vast majority of earnings for both SPCX and ORCL. Although the "non-AI" business of SPCX is rather small today (mostly Starlink) and is smaller than ORCL's legacy business, its connectivity segment has significant growth potential and should exceed the size of ORCL's database, software and classic cloud earnings within the next year. It is increasingly difficult to separate META's AI and non-AI businesses, given the integration of AI within its advertising business, though we recognize that more than 3.5bn daily active users across its platforms provide a diversified and resilient earnings base that is not solely dependent on incremental AI adoption.
- Data center/chip finance dynamics:** SPCX's funding picture is simpler than META/ORCL today, having only tapped the unsecured market thus far.² Data center leases and chip financing could play a role in SPCX's terrestrial compute build out at some point; although management has not indicated an openness to chip financing, it is not off the table, in our view, especially with chip funding facilities becoming more common following announcements from Broadcom and Nvidia. However, these funding avenues seem much less applicable for orbital compute, which will play a larger role toward the end of the decade (eg, how do you reclaim collateral in space?). In contrast, META and ORCL have already used data center bonds to support their capacity buildouts and could be candidates to access the growing chip-financing market.

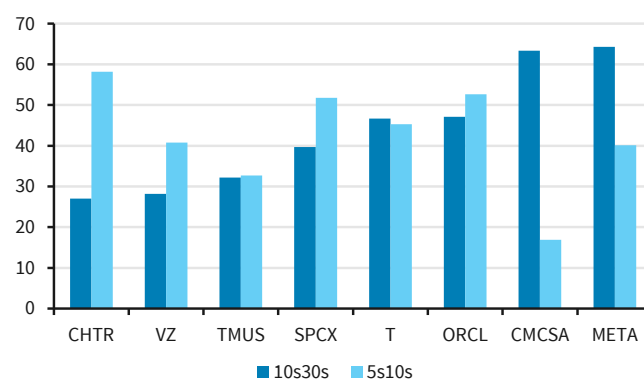
² SPCX has a legacy chip financing facility from xAI.

FIGURE 8. SPCX is anchored to ORCL/CHTR levels across the curve



T-spread
Source: Barclays Research

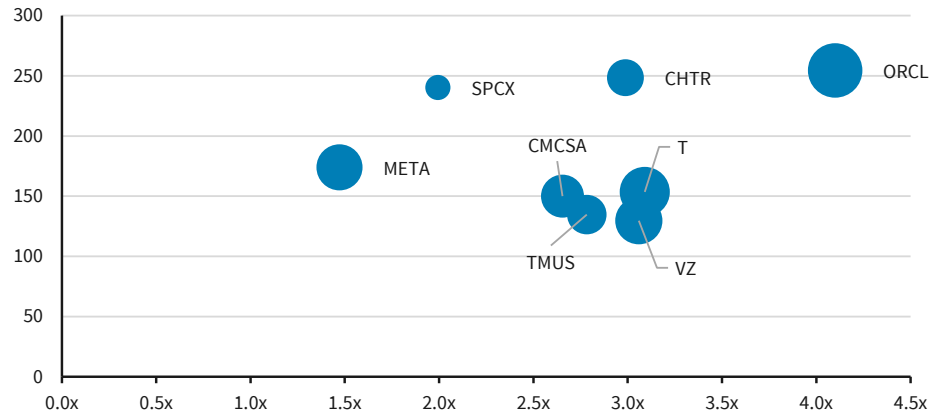
FIGURE 9. SPCX has one of the flatter 10s30s, but steeper 5s10s



T-spread relationships
Source: Barclays Research

Trade recommendations: Buy SPCX 10y outright; swap into SPCX and ORCL 30y from CHTR and META 30y

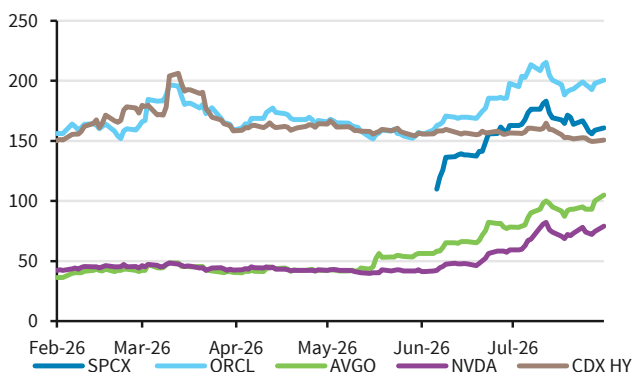
- Buy SPCX 2036s: 10s30s still too flat and 5s10s too steep.** The SPCX 10s30s curve priced relatively flat and has only steepened marginally since (+35bp vs. +41bp). The 5s10s also looks slightly steep at +53bp. SPCX 10y is also only 9bp inside of ORCL and is 91bp wide to META. While we consider the META 2036s to be a uniquely technical bond (very high borrow base), it still helps to frame the relative value, and the differential versus CMCSA 2035s and 2037s looks extreme as well. Given the curve and peer relationships, SPCX 2036s should be an anchor point for a compression trade, in our view. In other words, it is difficult to see a scenario where the long and front ends outperform the 10y. We see 20bp of compression potential from a combination of outperformance versus peers and expect the curve to steepen slightly.
- Buy SPCX and ORCL 2056s against selling CHTR and META 2056s.** We prefer to position in the 30y notes as part of a pair trade with peers. In our view, ORCL and SPCX are set up the best to outperform the large-cap/higher-beta TMT peer set due to a combination of catalysts (SPCX discussed above; ORCL on potential confirmation of equity funding, as [discussed here](#)). Over time, we see SPCX uniquely outperforming CHTR, given the potential for it to take broadband share away from cable operators. While this dynamic is not relevant for META, ongoing supply (albeit likely foreign currency post 3Q earnings) and the presence of data center bonds and legal liabilities present overhangs that will likely limit the curve's ability to outperform significantly barring an equity raise, which we view as unlikely anytime soon.

FIGURE 10. FY27E Agency Adj. Debt/EBITDA vs. 30Y bond levels

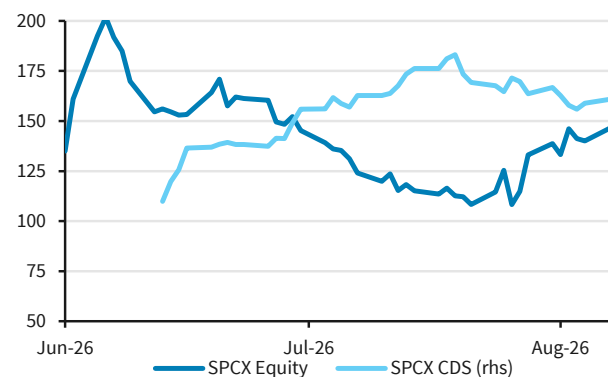
G-spd, Calendar year basis. Bubble sizes indicate the par value of IG index debt for each (ex: SPCX = \$25.0bn; ORCL = \$117.2bn)

Source: Bloomberg, Barclays Research

- CDS is wide; will be a function of equity performance.** Since trading began this summer, 5y CDS spreads have quickly moved out to ORCL levels. Similar to cash, the 5y contract is quoted slightly inside of ORCL and meaningfully wide to the rest of the hyperscaler/semi space. The underperformance was largely in lockstep with the bonds widening and the stock moving lower, and this trend has held on the way back in the past couple weeks. SPCX does not have data center debt associated with it, although it does have a legacy chip financing facility (Valor) which implies some hedging demand, but we do not consider that to be a significant driver of spreads at this point. Rather, our expectation is for 5y CDS to carry a relatively high correlation with the equity, similar to what we have observed from with other issuers (including ORCL). So while we would argue that SPCX CDS appears wide, the ability for it to rally comes down to the sustainability of any equity rallies, in our view.

FIGURE 11. SPCX 5Y CDS vs. peers

Source: Barclays Research

FIGURE 12. SPCX 5Y CDS vs. Equity Performance

Source: Barclays Research

Other Key Questions

M&A: How would a Tesla merger affect the structure? A number of reports³ have suggested that a SPCX-TSLA combination is in the works, and the combination would have real strategic logic, particularly around manufacturing scale, power/energy expertise, Terafab and Tesla's

³ Are SpaceX and Tesla Hurtling Toward a Merger?, Bloomberg, July 6, 2026

existing solar footprint from its SolarCity acquisition. The two companies already collaborate around power and compute constraints, and building Terafab in collaboration with Tesla remains one of SpaceX's longer-term aspirations⁴. Tesla has also highlighted Terafab and solar capacity as potentially significant incremental investment areas, reinforcing that a combination could deepen the vertical integration narrative across AI infrastructure, energy, manufacturing and space-based compute. On a recent earnings call, Mr. Musk was asked about a potential merger, and while he noted that there is a lot of overlap on "many fronts" between the two companies, he added that he would only be able to talk about the topic through a more "appropriate process."

We would view the credit effect as broadly neutral to modestly negative, absent more detail on transaction and financing structure. A merger could add diversification and make the strategic ecosystem more compelling, but it would not necessarily add near-term cash flow or reduce capital intensity. Tesla was historically a positive FCF contributor, but that cushion has become less clear amid the company's own elevated investment cycle, with 2026 capex expectations rising materially to drive negative FCF as spending ramps around AI, robotics, solar and manufacturing capacity. In that context, combining SPCX with Tesla could broaden the long-term opportunity set, but it would not solve the core bondholder issue: the platform would still require significant capital before those investments translate into durable cash generation. As a result, we would not expect M&A speculation to be the primary driver of spreads; the bigger variables remain cash burn, funding mix, future IG supply and whether a combination improves or complicates the capital structure.

For illustrative purposes, we assume an all-stock combination - similar to the \$60bn Cursor acquisition that just closed - and do not adjust revenue for potential inter-company eliminations or include any synergies. We also assume that, by YE27, TSLA has completed the \$30bn of incremental borrowing referenced by management on its 2Q26 earnings call.

Under these simplified assumptions, a combination would add diversification through Tesla's automotive business, providing SPCX with exposure to a more established operating platform that contributes meaningful operating cash flow. However, that operating cash flow would be more than absorbed by Tesla's broader capital spending across AI, robotics, solar and manufacturing, leaving the company in negative FCF territory and modestly weakening SPCX's standalone credit metrics rather than providing an immediate financial benefit. Under these basic assumptions, pro forma gross leverage would increase to approximately 1.5x from 1.2x, while net leverage would rise to 1.0x from 0.8x and combined 2027 FCF burn would deepen as Tesla moves back into negative FCF territory.

Our view: Despite the size of a possible transaction, the implications for credit are rather modest. We view it as slightly negative near-term, but positive longer-term on vertical integration benefits. However, in our view a transaction is not the biggest needle mover in the SPCX credit narrative.

FIGURE 13. For illustrative purposes: SPCX-TSLA PF on 2027E

2027E	SPCX	TSLA	Adjustments	PF (assuming no synergies)
Revenue	128,553	112,734		241,287
EBITDA	56,911	18,265		75,176
Margin (%)	44.3	16.2		31.2
CFO	52,684	19,490		72,174

⁴ SpaceX, Tesla to initially spend \$16.8 billion on Terafab chip plant in Texas, Reuters, 6 August 2026

2027E	SPCX	TSLA	Adjustments	PF (assuming no synergies)
Capex	-125,500	-29,311		-154,811
FCF	-72,816	-9,821		-82,637
Debt	60,434	13,583	30,000	104,017
Cash	25,000	15,467		40,467
Net Debt	35,434	-1,884		63,550
D/EBITDA	1.1	0.7		1.4
ND/EBITDA	0.6	-0.1		0.8

Earnings and cash flow estimates from Barclays Equity Research; see [Tesla Inc: Near-term core biz improving, but accelerated growth spend more than offsetting](#)

Source: Barclays Research

Is mobile an inevitable complement to broadband? SpaceX has made clear that it believes a direct mobile offering can become a meaningful part of the business and would complement its growing satellite broadband service. This could take place in one of three ways: 1) an MVNO or broader partnership with one of the big three wireless carriers; 2) a buildout of its own terrestrial-plus-satellite mobile network; or 3) an acquisition of one of the big three telcos. We continue to view the MVNO route as the most capital-efficient near-term path, given that it would allow SpaceX to enter mobile without recreating the full wireless stack, while still using Starlink's satellite network as a differentiated coverage layer. However, commentary on the earnings call suggests that SpaceX is not relying on a partnership and intends to develop the spectrum, satellites and terrestrial infrastructure necessary to pursue a standalone offering if an agreement does not materialize.

The more ambitious path would be for SpaceX to use its EchoStar spectrum and infrastructure to become a facilities-based wireless provider in the US. Management indicated on the call that the acquired spectrum includes terrestrial rights and outlined a network architecture that differs from the incumbent model. Instead of relying primarily on large, fiber-fed cell sites, SpaceX could deploy smaller cellular base stations alongside Starlink broadband equipment on homes and businesses, using satellite connectivity where fiber backhaul is unavailable or uneconomic. These nodes could be added incrementally as capacity is needed, potentially making the model more flexible and capital-efficient than a conventional terrestrial network. However, a true standalone offering would still require meaningful terrestrial infrastructure, particularly in dense urban markets where capacity, rather than coverage, is the binding constraint, as well as greater regulatory engagement, network operations capabilities and capital investment.

The bigger point is that mobile increasingly looks like a natural adjacency: if Starlink's core value proposition is ubiquitous connectivity, extending that proposition from homes, enterprises, planes and ships to handsets is a logical next step. The near-term path is likely to remain partnership-led internationally, where SpaceX is already working with local carriers, while the US strategy could involve a greater degree of owned infrastructure. An MVNO would allow SpaceX to defer capital spending and accelerate distribution, but its spectrum position, satellite backhaul capability and proposed distributed terrestrial architecture provide a credible path forward without one. In that sense, mobile is less a separate business line than an extension of the Starlink ecosystem, one that could eventually make SpaceX a more complete connectivity provider rather than simply a satellite broadband company.

Capex and Funding Outlook

Capex is the central variable in the SPCX credit story. While we are bullish on fundamentals, we acknowledge that there is a wide range of possible outcomes for both earnings and capex. Our expectation is that capex is primarily driven by terrestrial compute spending in the next 2-3 years, with orbital spending beginning to ramp toward the end of the decade. To that end, the IPO served a dual benefit of raising primary capital (\$86bn), but also broadening access to the IG debt market, which we expect to be the primary funding avenue going forward.

Space: Capex is driven by launch cadence and Starship commercialization. The investment focus is Starship, which is central to expanding launch capacity, reducing unit launch costs, enabling growth across V3 satellites, and, eventually, orbital AI compute. While much of the current spending is expensed through R&D rather than capitalized, the S-1 makes clear that achieving the targeted cadence and commercialization of Starship will require significant capital resources, making Space the foundational capex layer for the broader SPCX growth story. Key initiatives include doubling payload capacity and introducing the reusability of rockets into the launch flywheel. For context, the S-1 cites NASA data showing Falcon 9 reduced launch cost to roughly \$2,700/kg in 2010, an 85% reduction from the historical average of \$18,500/kg, while Falcon Heavy further reduced launch cost to approximately \$1,400/kg in 2018. Starship is intended to drive the next step-change: SpaceX is targeting a 99%+ reduction from the historical baseline, or roughly \$185/kg, through full and rapid reusability, significantly higher payload capacity and, ultimately, much higher launch cadence. So while the earnings growth of the Space segment implies a modest ROI, the return is materially greater when considering that it enables the Connectivity/AI segments to increase launch cadence at lower costs.

Connectivity: Capex is increasingly related to scaling capacity, not just coverage. SpaceX has already built the largest LEO broadband network, with roughly 9,600 Starlink broadband and mobile satellites in orbit and 12mn subscribers as of 2Q26, but the next investment cycle is tied to deploying new broadband and mobile constellations. Connectivity capex increased to \$4.2bn in 2025 and was \$2.7bn in 1H26 alone, with spending likely to remain elevated as SpaceX begins launching V3 broadband satellites on Starship in 2H26 and V2 Mobile satellites in 2027. The key capex offset is scale efficiency: each V3 satellite is designed for 1Tbps of downlink capacity, and each Starship launch could deploy up to 60 V3 satellites, representing a potential 20x increase in Starlink downlink capacity deployed relative to Falcon 9 deployments previously.

AI: AI capex is the swing factor with the most upside. Current investment is concentrated in terrestrial compute capacity (GPUs, data centers, power infrastructure, networking and cooling), with AI segment capex of \$12.7bn in 2025 and \$23.5bn in 1H26 materially above Space and Connectivity. This spending is necessary to support Grok training/inference and to build a vertically integrated AI platform, including potential chip manufacturing through Terafab. In the meantime, the company has begun to lease out excess compute capacity to third parties (Google and Anthropic) yielding very quick payback periods (<1 year per management). Over time, however, the more differentiated investment case is orbital compute: SpaceX plans to deploy AI compute satellites as early as 2028, leveraging Starship, satellite manufacturing scale, Starlink connectivity and space-based solar power to address terrestrial constraints around power availability, cooling and data center buildout. The upside is therefore more asymmetrical than in the other segments, as Space lowers the cost of access to orbit and Connectivity monetizes global reach, while AI could leverage both to create an entirely new layer of compute infrastructure.

Funding Assumptions

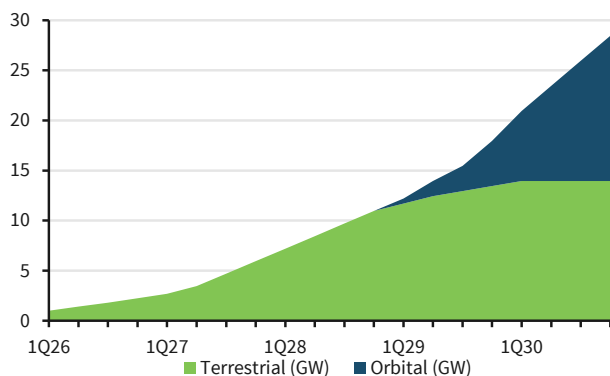
We assume that the vast majority of funding in the next few years will be done via the IG debt market. While all three rating agencies acknowledge SpaceX's continued access to debt and equity markets, we believe the company would only issue subsequent equity if leverage rises meaningfully above 2x, which we do not expect. For now, a \$100bn+ cash balance (well above its stated minimum of \$25bn) and expected EBITDA growth in the coming quarters give the company room to issue more debt down the line while easily remaining within its 2-3x gross leverage target and maintaining its ratings.

Working capital could be an important lever, while prepayments may provide additional support. Company messaging suggests SpaceX could benefit from working capital arrangements with key suppliers, potentially allowing it to extend payables over multiple quarters. Given shortened payback periods in an elevated spot market for compute, this could meaningfully reduce upfront capex requirements. In addition, SpaceX may be able to secure customer prepayments. While we do not include this in our model, prepayment rates of 20-25% on compute contracts, in line with peers, could provide another source of funding, although the company has not disclosed any prepayments on the deals recently announced. The company could also use a leasing model for a portion of incremental terrestrial capacity if it accelerates expansion, which would help reduce powered shell costs. We expect this model to be introduced as capacity ramps in 2027.

Creative financing is possible, but unlikely to be a significant contributor. Terrestrial AI peers can often push capex into data center operators, project finance vehicles, sale-leasebacks, or chip-/equipment-backed structures because those assets are accessible, separable and easier to finance. SPCX can use some of these tools for terrestrial AI infrastructure, but the company's highest-upside capex is tied to harder-to-externalize assets: launch systems, satellites and, eventually, orbital compute infrastructure. Once assets are deployed in orbit, collateral recovery is far less straightforward than for a data center, GPU cluster, or power asset on the ground. Following management's commitment to exclusively buy GPUs from Nvidia, SpaceX's terrestrial needs could be a logical candidate for NVDA's recent \$500bn financing facility,⁵ though messaging from the company has suggested it prefers to stay away from 'exotic' structures, which leaves us unsure of its appetite for SPV solutions. As a result, secured or asset-level financing should remain an incremental lever, not the core solution, leaving IG bonds as the most scalable funding channel and equity as a backstop, rather than a near-term base case.

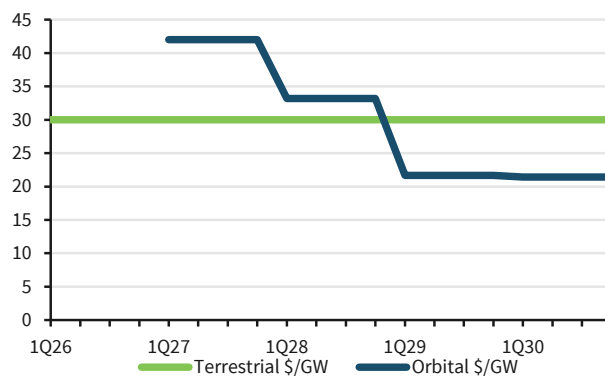
⁵ NVIDIA AI Factory Compute Is Becoming an Investable Asset Class, Nvidia Newsroom, August 10, 2026

FIGURE 14. Terrestrial vs. Orbital capacity ramps (GW)



Source: Barclays Research

FIGURE 15. Terrestrial vs. Orbital costs



Source: Barclays Research

Capex drives our funding forecast. While capex is broken out at each of the three segments, AI capex is the largest swing factor in our model, and we drive it through two distinct build paths: terrestrial compute and orbital compute. For terrestrial AI infrastructure, the model is relatively straightforward: we forecast 2.25GW of compute capacity online by YE26, 5.95GW by YE27, and just below 10GW by YE28. We expect this terrestrial rate of capacity growth to slow in parallel with SPCX's orbital ramp, which we expect to begin gradually in 2029 and grow in 2030, but to levels far below those suggested by the company (100GW/yr). We assume a consistent \$30bn/GW cost for terrestrial hardware, reflecting the company's capital efficiency in bringing data center capacity online thus far (AI capex totals \$36bn since the start of 2025, with 1.4GW online).

The key uncertainty is where SpaceX builds compute, not whether it continues to build.

Our base case assumes terrestrial capacity growth slows as orbital compute begins contributing in 2029. We believe orbital compute is a credible strategic objective, given SpaceX's launch economics, satellite manufacturing scale, Starlink network, and access to space-based solar power. However, the timeline for developing and deploying the technology at commercial scale remains difficult to forecast. Consistent with the historical execution pattern across Musk-led companies, we give SpaceX credit for the ultimate objective, but apply a significant discount to the proposed pace.

The mix of orbital vs terrestrial capacity can vary. If the orbital ramp is delayed, terrestrial AI investment would likely remain elevated for longer, resulting in a different capex mix, but potentially similar cumulative funding needs. That scenario could also be more expensive on a per-GW basis, as SpaceX would remain exposed to increasing competition for terrestrial power, sites, cooling, equipment and construction capacity, rather than benefiting from the declining unit-cost curve assumed for orbital compute. If orbital compute does not prove viable, terrestrial infrastructure would likely become the primary long-term build path. By contrast, if SpaceX scales orbital compute faster than our forecast, total capex could materially exceed our estimates because success (and in turn monetization) would likely encourage the company to accelerate investment.

FIGURE 16. Breakdown of capex allocation

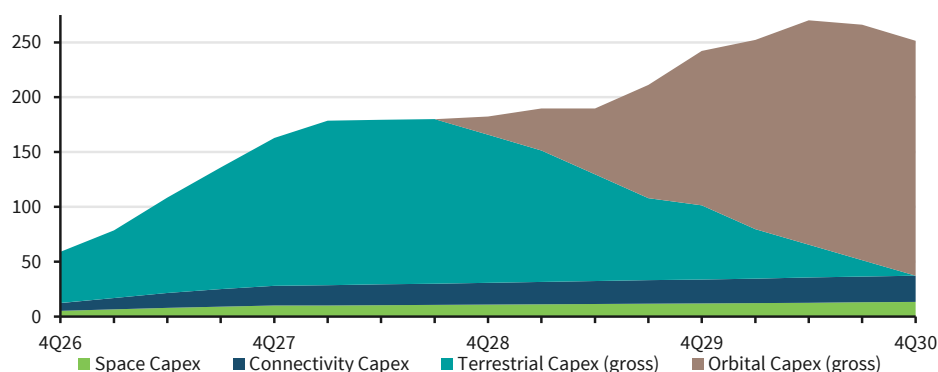


FIGURE 17. Walk-through of our capex assumptions

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E	2029E	2030E
Space	1,052	1,174	1,500	1,500	2,500	2,500	2,500	2,500	5,226	10,000	11,000	12,100	13,310
Connectivity	1,332	1,367	2,000	2,500	4,500	4,500	4,500	4,500	7,199	18,000	19,800	21,780	23,958
AI	7,723	15,828	13,500	13,500	22,500	37,500	37,500	37,500	50,551	135,000	151,591	208,333	214,231
Terrestrial AI	7,723	12,000	13,500	13,500	22,500	37,500	37,500	37,500	46,723	135,000	135,000	67,500	0
Orbital AI	0	0	0	0	0	0	0	0	0	0	16,591	140,833	214,231
Gross Capex	10,107	18,369	17,000	17,500	29,500	44,500	44,500	44,500	62,976	163,000	182,391	242,213	251,499
Working Capital (Benefit)	0	0	0	0	-11,250	-18,750	-7,500	0	0	-37,500	-795	-25,455	10,192
Prepayment (Benefit)	0	0	0	0	0	0	0	0	0	0	0	0	0
Cash Capex	10,107	18,369	17,000	17,500	18,250	25,750	37,000	44,500	62,976	125,500	181,595	216,759	261,691
CFO	1,047	2,419	3,364	7,874	8,152	11,494	14,742	18,295	14,704	52,684	108,074	155,113	247,063
Capex	-10,107	-18,369	-17,000	-17,500	-18,250	-25,750	-37,000	-44,500	-62,976	-125,500	-181,595	-216,759	-261,691
Dividends	0	0	0	0	0	0	0	0	0	0	0	0	0
FCF	-9,060	-15,950	-13,636	-9,626	-10,098	-14,256	-22,258	-26,205	-48,272	-72,816	-73,521	-61,646	-14,628

Source: Barclays Research

Funding needs: While SPCX currently holds roughly \$100bn of cash, we expect that balance to decline toward the company's stated \$25bn minimum cash buffer over time as FCF remains negative throughout the buildout phase. Based on our estimates, 'true' external funding needs, measured against that \$25bn threshold, begin to emerge in late 2027. That said, we do not expect SPCX to wait until then to access the market. Given the scale and visibility of its investment program, we view the company as a recurring IG issuer and anticipate another bond offering in 1H27. Funding requirements increase thereafter as SPCX scales AI-related capacity, particularly within its orbital infrastructure business, driving our estimated cumulative funding need to more than \$200bn through FY30. To address these requirements, the company could establish a predictable semiannual issuance cadence beginning next year. While the funding burden is substantial, we believe ongoing engagement and transparency with credit investors would support market receptivity.

FIGURE 18. Walk-through of our funding assumptions

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E	2029E	2030E
Revenue	4,694	7,814	9,133	19,445	22,402	27,720	34,844	43,587	41,087	128,553	256,198	384,579	654,466
EBITDAR	1,525	3,978	4,339	9,084	9,193	13,058	16,800	21,441	18,926	60,492	133,532	196,643	300,399
Margin	32.5	50.9	47.5	46.7	41.0	47.1	48.2	49.2	46.1	47.1	52.1	51.1	45.9
CFO	1,047	2,419	3,364	7,874	8,152	11,494	14,742	18,295	14,704	52,684	108,074	155,113	247,063
Capex	-10,107	-18,369	-17,000	-17,500	-18,250	-25,750	-37,000	-44,500	-62,976	-125,500	-181,595	-216,759	-261,691
Dividends	0	0	0	0	0	0	0	0	0	0	0	0	0
FCF	-9,060	-15,950	-13,636	-9,626	-10,098	-14,256	-22,258	-26,205	-48,272	-72,816	-73,521	-61,646	-14,628
Maturities													
Debt/Equity Issuance		110,675											
Cash	15,852	100,009	86,373	76,747	66,649	52,393	30,135	25,000	76,747	25,000	25,000	25,000	37,374
Debt (ex-lease)	29,111	38,285	38,285	38,285	38,285	38,285	38,285	59,355	38,285	59,355	132,876	194,522	221,524
Net Debt	13,259	-61,724	-48,088	-38,462	-28,364	-14,108	8,150	34,355	-38,462	34,355	107,876	169,522	184,150
Assumed Min Cash		25,000											
Cumulative gross funding needs			0	0	0	0	0	21,070	0	21,070	94,591	156,237	183,266
Cumulative net needs			0	0	0	0	0	21,070	0	21,070	94,591	156,237	183,266

Source: Barclays Research

Unpacking the Competitive Landscape

Launch: A Cadence and Cost Advantage

SpaceX remains highly differentiated in launch, with the company's competitive advantage built around a combination of reusability, launch cadence, reliability, cost efficiency and vertical integration. The company has completed approximately 650 orbital launches, including more than 540 launches using flight-proven Falcon rockets, and in 2025 alone completed 170 missions across Falcon and Starship vehicles while delivering over 80% of global mass to orbit. Falcon 9 has also completed approximately 620 orbital launches with an over 99% mission success rate, while SpaceX's ability to reuse boosters and fairings has materially reduced the cost of access to orbit. The company cites NASA data showing Falcon 9 reduced launch cost to approximately \$2,700/kg, roughly 85% below the historical average, while Falcon Heavy reduced launch cost to approximately \$1,400/kg, roughly 92% below the historical average.

The primary launch competitors are Blue Origin, United Launch Alliance, Rocket Lab and Arianespace, though each competes from a different position. Blue Origin is likely the most direct long-term challenger through New Glenn, its reusable heavy-lift rocket, particularly for heavy-lift, government and constellation-related missions, but it is still working to prove cadence, reliability and reusability at scale. New Glenn reached orbit on its inaugural launch in January 2025⁶ and completed a second launch in November 2025 with a reusable booster landing, while Blue Origin also secured a \$2.3bn NSSL Phase 3 award. United Launch Alliance remains relevant primarily in national security and high-value government launches, with Vulcan Centaur (its heavy-lift launch vehicle) and a government-backed demand base, but it does not appear positioned to match SpaceX's commercial cost and cadence advantage. Rocket

⁶ Progress and pressure in reusable launch vehicles, Aerospace America, January 2, 2026

Lab is more of a small-launch and emerging medium-lift competitor, with its Electron serving dedicated small satellite launches and Neutron intended to compete more directly with Falcon 9 in medium-lift missions. Arianespace's Ariane 6 provides sovereign European launch capability, but looks more like an institutional or regional option rather than a direct cost leader against SpaceX.

Taken together, SpaceX's launch position appears difficult to replicate because its advantage is not based on any single vehicle, but on the combination of reusable hardware, operational cadence, internal demand from Starlink, and future AI infrastructure. While several competitors are credible in specific segments (Blue Origin in heavy lift, ULA in national security, Rocket Lab in small/medium launch, and Arianespace in European sovereign access), none currently match SpaceX's breadth across cost, cadence, reliability and scale. That leaves SpaceX positioned not only as the leading commercial launch provider, but also as the launch infrastructure layer underpinning the rest of its business model.

Starlink: Scaling Broadband, Still Lacking Convergence

Starlink is increasingly relevant in broadband, but its competitive position differs meaningfully by market. In satellite broadband, Starlink appears to have a significant first-mover and scale advantage, supported by SpaceX's vertically integrated launch capability, large LEO satellite base, and growing consumer, enterprise, government and mobile use cases. SpaceX describes Starlink Consumer Broadband as the world's largest and most advanced space-based internet broadband service, with approximately 9,600 Starlink broadband and mobile satellites in LEO and median residential download speeds of 225Mbps during peak hours as of 1H26. The company also expects next-generation V3 satellites to offer 1Tbps of downlink capacity per satellite, with a single Starship launch capable of deploying up to 60 V3 satellites and representing a potential twenty-fold increase in downlink capacity deployed relative to a Falcon 9 launch.

That scale gives Starlink a strong position in rural, remote, mobility, enterprise, government, maritime, aviation and backup connectivity use cases, where terrestrial networks are unavailable, uneconomic, or less reliable. However, the competitive set is broadening, with Amazon Leo / Project Kuiper the most relevant emerging LEO competitor, OneWeb / Eutelsat more focused on enterprise, government, aviation and maritime connectivity, and traditional GEO satellite names such as Viasat still participating in the broader satellite broadband market. In the US residential broadband market, Starlink is best framed as a growing competitive alternative, rather than a broad replacement for cable, fiber or fixed wireless. LEO satellite has expanded broadband availability and increased competitive intensity, but industry commentary still suggests Starlink's effect is most pronounced in rural and underserved markets, while cable executives have characterized satellite as useful in rural areas, but capacity-constrained as a serious urban or suburban substitute.

The more important US limitation is convergence. Cable and telco broadband strategies are increasingly built around bundled fixed and mobile offerings, which can improve retention, lower churn, and make the household connectivity relationship stickier. Comcast and Charter have MVNO relationships that allow them to pair broadband with mobile, which has seen significant uptake in recent years, while Starlink's current US consumer broadband product remains primarily standalone, aside from third-party bundles. That said, our understanding is that Verizon does not intend to extend its MVNO program to SpaceX (see more above in [Other Key Questions](#)). As a result, Starlink should be viewed as a meaningful incremental broadband competitor, particularly in rural, mobility, enterprise, government and backup connectivity applications, but not a full mobile replacement platform in the US. In the longer term, Starlink Mobile and SpaceX's planned spectrum acquisitions could expand its mobility ambitions, but

until those capabilities mature, Starlink looks more like a powerful rural and edge-market broadband disruptor than a direct substitute for converged cable, fiber and wireless bundles.

FIGURE 19. Starlink remains one of the higher priced broadband alternatives

	100 Mbps↓	300 Mbps↓	500 Mbps↓	1 Gbps↓	2 Gbps↓
Starlink	\$55 / 15↑	\$130 / 25↑*			
AT&T Fiber		\$50 / 300↑	\$65 / 500↑	\$80 / 1,000↑	\$125 / 5,000↑**
Verizon Fios (Fiber)		\$50 / 300↑	\$75 / 500↑	\$90 / 1,000↑	\$110 / 2,300↑
Xfinity (CMCSA Cable)		\$40 / 15↑	\$45 / 20↑	\$50 / 35↑	\$100 / 100↑
Spectrum (CHTR Cable)	\$30 / 20↑		\$40 / 35↑	\$60 / 35↑	\$90 / 35↑
AT&T FWA		\$60 / 30↑			
T-Mobile FWA		\$50 / 55↑			
Verizon FWA	\$45 / 15↑	\$60 / 20↑			

↓ - download speed ; ↑ - upload speed; * Starlink Residential Max - maximum available speeds and top residential network priority in 300Mbps range ** 5 Gbps↓ plan

Source: Barclays Research

AI: More Than Model Competition

SpaceX's AI segment should be framed as competing across several layers of the AI value chain, rather than simply as a model-to-model comparison between Grok and other frontier AI platforms. At the model and application layer, Grok competes with OpenAI, Anthropic, Google Gemini, Meta and other AI labs for consumer adoption, enterprise use cases, developer mindshare and model performance. SpaceX's differentiated angle is that Grok is integrated with X, giving it access to a real-time information platform that the company positions as a source of relevance and contextual awareness. That said, this remains a highly competitive market, with larger and more established AI ecosystems already benefiting from broader enterprise distribution, developer tooling, cloud relationships and consumer awareness.

The more distinctive part of SpaceX's AI positioning is at the infrastructure layer. Through COLOSSUS and COLOSSUS II, SpaceX is not only building compute capacity for its own frontier model development; it is also leasing capacity to third-party AI labs. SpaceX entered cloud services agreements with Anthropic for access to compute capacity across COLOSSUS and COLOSSUS II, with Anthropic agreeing to pay \$1.25bn per month through May 2029. The company also says this structure allows it to monetize unused compute capacity while preserving the ability to reallocate capacity for internal initiatives if needed. Separately, Google reportedly⁷ agreed to pay SpaceX \$920mn per month for compute capacity housed in SpaceX data centers, including access to roughly 110,000 Nvidia GPUs plus related CPUs, memory and components. These deals give SpaceX a neocloud-like dimension, positioning it as a provider of high-performance AI infrastructure in addition to being an AI model company. However, they also create a natural allocation question over time: the more external customers lease SpaceX compute, the more investors will need to assess how the company balances third-party monetization against internal demand for Grok training, inference, X-based applications and future AI initiatives.

Orbital Data Center Potential Differentiates

SpaceX is not directly comparable to a traditional neocloud. More conventional neoclouds are primarily GPU-cloud providers focused on selling access to compute capacity, while SpaceX's AI strategy is broader: the same infrastructure supports Grok, third-party compute leasing, X-based applications, and potentially orbital AI compute over time. SpaceX explicitly frames the xAI acquisition as combining SpaceX's launch capabilities and global connectivity network with

⁷ Google to pay SpaceX \$920 million a month for compute capacity at xAI data centers, CNBC, June 5, 2026

xAI's development capabilities, and says SpaceX expects to begin deploying orbital AI compute satellites as early as 2028. This potential orbital data center roadmap is important for valuation because it suggests SpaceX is not merely renting out GPU capacity, but attempting to extend its physical-stack advantage into a new compute architecture that could, if successful, use SpaceX's launch scale, satellite manufacturing, Starlink connectivity and orbital power/cooling advantages to address terrestrial AI infrastructure bottlenecks.

That said, orbital compute should be framed as an upside option rather than a current earnings driver. The concept reinforces the bull case that SpaceX may be uniquely positioned to attack the physical constraints of AI: power availability, data center capacity, deployment speed and connectivity. However, it also introduces meaningful execution risk, given the novelty and scale of the architecture. As a result, the AI segment's competitive positioning is less about whether Grok alone can outperform Claude, ChatGPT or Gemini, and more about whether SpaceX can turn control of the physical AI stack into a structural advantage. In that sense, SpaceX competes with frontier AI labs at the model layer, neoclouds and hyperscalers at the infrastructure layer, and potentially a broader set of physical-stack names as AI bottlenecks shift.

Notes on Rating Agencies, Financials and Tearsheet

Rating Agency Summaries

- S&P: BBB (Stable).** The rating balances SpaceX's deep launch moat, Starlink's growth and cash-flow potential, and strong innovation capabilities against the uncertain economics and substantial funding needs of the AI business, with aggressive investment expected to produce significantly negative free cash flow through 2029. The rating is anchored by an expectation that S&P-adjusted leverage (adjusted on a net basis) remains below 2.0x, helped by the company's sizable liquidity, access to debt and equity markets, and ability to reduce discretionary investment if necessary; management and governance are assessed as moderately negative. S&P could downgrade the rating if SpaceX continues investing heavily, but falls short of its growth and AI-monetization plans, causing leverage to exceed 2.0x; an upgrade would require a stronger business assessment, through better-than-expected connectivity performance or demonstrated AI monetization, plus a commitment to leverage below 1.5x and progress toward sustainable positive free cash flow.
- Moody's: Baa1 (Stable).** The Baa1 rating reflects SPCX's leading positions in orbital launch and satellite connectivity, with Starlink's recurring revenue serving as the principal cash-flow anchor, while vertical integration, government relationships and potential AI-compute monetization provide additional competitive strength and diversification. These positives are balanced against sustained negative free cash flow and considerable execution risk around the AI buildout and Starship V3, as well as Starlink concentration and governance concerns. An upgrade would require Moody's-adjusted debt/EBITDA (adjusted on a gross basis) to remain below 2.75x, alongside successful AI execution, stronger cash-flow diversification and disciplined liquidity management; conversely, pressure could emerge if leverage is not on a clear path below 3.25x by YE28, or if Starship setbacks, weaker Starlink performance, slower AI monetization or more aggressive financial policies impair cash flow or liquidity.
- Fitch: BBB+ (Stable).** The BBB+ rating is supported by SPCX's dominant launch position, high barriers to entry, growing recurring connectivity and AI-compute revenues, and more than \$90bn of liquidity, which provides capacity to fund deeply negative, but largely discretionary, free cash flow. Fitch expects EBITDA growth and flexible capex to keep leverage (adjusted on a gross basis) within or below management's 2-3x target, but constrains the rating by two notches for concentrated voting control and key-person risk, while also highlighting Starship execution and the unprecedented capital program. A downgrade could result from EBITDA leverage being sustained above 2.5x, material Starship delays, impaired

capital-markets access or creditor-unfriendly capital allocation; an upgrade would require leverage be sustained below 1.5x, a visible path to positive free cash flow, demonstrated willingness to curtail investment to protect credit metrics and, potentially, governance reform.

Corporate Structure and Other Notes

- \$25bn issuance in June 2026 refinanced bridge that had consolidated X/xAI debt.** In March 2026, SpaceX raised a \$20bn unsecured bridge loan, using the proceeds to repay the X B-1 and B-3 term loans, xAI's \$1bn fixed-rate and \$1bn floating-rate term loans, and its \$3bn 12.5% secured notes. SpaceX (through Space Exploration Technologies Corp.) subsequently issued \$25bn of senior unsecured notes in June, applying the net proceeds to repay the bridge in full. The refinancing effectively replaced a collection of expensive, largely secured subsidiary-level X/xAI obligations with longer-dated unsecured debt issued at the SpaceX parent, simplifying the capital structure and shifting the funding burden to the consolidated parent level.
- Valor asset-backed funding.** Through subsidiary CTC, SPCX sells servers and other AI-compute equipment to affiliates of Valor Equity Partners, which is a related party, given Valor CEO Antonio Gracias's role as an SPCX director, and simultaneously leases the assets back, providing upfront liquidity while allowing CTC to retain their use. Because the transactions do not qualify as sales, they are accounted for as "failed" sale/leasebacks: the equipment remains on SPCX's balance sheet and continues to be depreciated, while the proceeds are recorded as financing liabilities and subsequent payments are allocated between principal and interest, rather than being treated as rent. Economically, the arrangements therefore resemble equipment-secured term financing more than traditional leases. Associated current and long-term obligations totaled approximately \$13.3bn as of 2Q26, with \$327mn of related interest expense in the quarter.
- Internal launches are capitalized, while customer launches drive reported Space revenue.** For third-party commercial and government missions, SPCX recognizes Launch Services revenue and the related costs when the customer payload is launched or deployed to its intended orbit. By contrast, launches of the company's own Starlink satellites generate no inter-segment revenue, as the associated launch costs are capitalized with the satellites in PP&E and subsequently depreciated through the Connectivity segment's cost of revenue. As a result, reported Space revenue reflects only external customer launches and customer-related activities, while total launch cadence and mass to orbit include customer and internal missions. The distinction can create a widening disconnect between operating activity and reported Space results, as internal deployments absorb more launch capacity. For example, total Falcon launches increased from 134 in 2024 to 165 in 2025, but customer launches remained broadly flat, while a greater share of launch operations and overhead was capitalized in Connectivity from the accelerating internal cadence.

FIGURE 20. SPCX Tearsheet

SpaceX (SPCX)															
Barclays Credit Research															
\$mns	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	4,694	7,814	9,133	19,445	22,402	27,720	34,844	43,587	14,015	18,674	41,087	128,553	256,198	384,579	654,466
Adj. EBITDA	1,127	3,538	3,932	8,676	8,785	12,425	15,842	19,859	5,350	6,584	17,273	56,911	120,950	176,937	278,067
Margin (%)	24.0	45.3	43.0	44.6	39.2	44.8	45.5	45.6	38.2	35.3	42.0	44.3	47.2	46.0	42.5
CFO	1,047	2,419	3,364	7,874	8,152	11,494	14,742	18,295	5,776	6,785	14,704	52,684	108,074	155,113	247,063
Capex	-10,107	-18,369	-17,000	-17,500	-18,250	-25,750	-37,000	-44,500	-11,163	-20,737	-62,976	-125,500	-181,595	-216,759	-261,691
Dividends	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
FCF	-9,060	-15,950	-13,636	-9,626	-10,098	-14,256	-22,258	-26,205	-5,387	-13,952	-48,272	-72,816	-73,521	-61,646	-14,628
Debt	30,265	39,364	39,364	39,364	39,364	39,364	39,364	60,434	13,793	22,896	39,364	60,434	133,955	195,601	222,603
Cash	15,852	100,009	86,373	76,747	66,649	52,393	30,135	25,000	11,385	24,747	76,747	25,000	25,000	25,000	37,374
Implied Funding Need	0	0	0	0	0	0	0	21,070			0	21,070	73,521	61,646	27,029
Debt/EBITDA (x)	5.1	4.9	3.8	2.3	1.6	1.2	0.9	1.1	2.6	3.5	2.3	1.1	1.1	1.1	0.8
Net Debt/EBITDA (x)	2.4	-7.6	-4.6	-2.2	-1.1	-0.4	0.2	0.6	0.5	-0.3	-2.2	0.6	0.9	1.0	0.7
<u>Segment Sales</u>															
Space	619	962	1,020	1,020	1,275	1,275	1,275	1,275	3,796	4,086	3,621	5,100	6,120	7,200	9,200
Connectivity	3,257	4,291	4,591	5,284	5,100	6,585	7,362	8,182	7,599	11,387	17,423	27,229	42,403	60,579	80,748
AI	818	2,561	3,522	13,142	16,027	19,861	26,207	34,130	2,620	3,201	20,043	96,225	207,675	316,801	564,518
<u>Segment EBITDA</u>															
Space	-351	-205	-408	-408	-255	-128	0	0	1,154	653	-1,372	-383	918	1,440	2,760
Connectivity	2,087	2,597	2,755	3,170	2,805	3,622	4,049	4,500	3,849	7,168	10,609	14,976	27,562	39,376	52,486
AI	-609	1,146	1,585	5,914	6,235	8,931	11,793	15,359	347	-1,237	8,036	42,318	92,470	136,121	222,822
<u>Capex Breakout</u>															
Space	1,052	1,174	1,500	1,500	2,500	2,500	2,500	2,500	2,032	3,832	5,226	10,000	11,000	12,100	13,310
Connectivity	1,332	1,367	2,000	2,500	4,500	4,500	4,500	4,500	3,498	4,178	7,199	18,000	19,800	21,780	23,958
AI	7,723	15,828	13,500	13,500	11,250	18,750	30,000	37,500	5,633	12,727	50,551	97,500	150,795	182,879	224,423

<u>Key Metrics</u>															
Internal Launches	33	31	30	30	30	30	30	30	93	127	124	120	120	453	690
External Launches	7	7	12	12	15	15	15	15	45	43	38	60	68	80	92
Total Launches	40	38	42	42	45	45	45	45	138	170	162	180	188	533	782
Starlink Subscribers	10.3	12.0	14.3	16.5	18.8	21.0	23.3	25.5	4.4	8.9	16.5	25.5	41.5	57.5	73.5
Starlink ARPU	66.0	66.0	65.0	65.0	65.0	65.0	65.0	65.0	91.0	81.0	65.0	65.0	65.0	65.0	65.0
Terrestrial GW Online	1.0	1.4	1.8	2.3	2.7	3.5	4.7	6.0	0.3	0.8	2.3	6.0	11.0	13.5	14.0
Orbital GW Online	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	4.5	14.5
Total Nameplate Compute Draw (GW)	1.0	1.4	1.8	2.3	2.7	3.5	4.7	6.0	0.3	0.8	2.3	6.0	11.0	18.0	28.5

Source: Barclays Research

Summary of Ratings

Bloomberg U.S. Credit Index

	Old	New
U.S. HG Cable Satellite	Overweight	Overweight
SPACE EXPLORATION TECHNOLOGIES CORP		Overweight

Source: Barclays Research

Analyst(s) Certification(s):

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Primary Issuers/Bonds

SPACE EXPLORATION TECHNOLOGIES CORP, Overweight, A/CD/CE/D/E/J/K/L/M/N

Valuation Methodology: Following its inaugural bond deal, the bonds have sold off sharply. Less funding needs than hyperscaler peers, strong performance of its underlying businesses, and growing comfort around the risk profile should help the bonds outperform from their current wider levels.

Risks that May Impede Achievement of the Rating: More issuance than expected, higher capex than currently forecast, or the governance concerns around higher ambitions could hurt credit metrics and/or sentiment.

Representative Bond: SPCX 6.65 07/15/56 (USD 88.01, 18-Aug-2026)

Materially Mentioned Issuers/Bonds

CHARTER COMMUNICATIONS OPERATING LLC / CHARTER COMMUNICATIONS OPERATING CAPITAL, Market Weight, A/CD/D/E/J/K/L/M/N

Valuation Methodology: Though CHTR can continue to perform on carry alone, it is harder to make a bullish call for a carry trade in the current market backdrop with volatility (especially in TMT) picking up.

Risks that May Impede Achievement of the Rating: Subscriber/performance pressures are materially above company/market expectations or such pressures are much lower than expected leading to financial outperformance.

Representative Bond: CHTR 2.8 04/01/31 (USD 87.71, 18-Aug-2026)

CHTR 7.85 08/15/56 (USD 100.58, 18-Aug-2026)

META PLATFORMS INC, Market Weight, CD/CE/FA/FB/J/K/M/N

Valuation Methodology: Strong core advertising business and AI-outlook justifies optimism, but issuance overhang and a variety of pending legal proceedings justify a MW rating.

Risks that May Impede Achievement of the Rating: Upside risks include legal wins sooner than anticipated, less funding than expected, and stronger-than-expected advertising growth. Downside risks include larger-than-expected capex and issuance, or AI benefits slowing

Representative Bond: META 5 5/8 11/15/55 (USD 82.32, 18-Aug-2026)

META 6.3 05/15/56 (USD 90.45, 18-Aug-2026)

ORACLE CORP, Overweight, CD/CE/J

Valuation Methodology: capex and funding remain overhangs, but company commentary and mindset has clearly shifted to a heightened focus on the balance sheet. At current levels near the local wides despite a tightening IG market, risk-reward still skews to the upside. More prepayments/BYOC is constructive

Risks that May Impede Achievement of the Rating: downside risks include larger than expected issuance, less use of alternative funding sources than the market expects, OpenAI struggles and/or concerns around IPO timeline, and broader AI worries. Concerns around the equity offering as well

Representative Bond: ORCL 5 1/2 08/03/35 (USD 91.77, 18-Aug-2026)

ORCL 6.7 02/04/56 (USD 86.36, 18-Aug-2026)

SPACE EXPLORATION TECHNOLOGIES CORP, Overweight, A/CD/CE/D/E/J/K/L/M/N

SPCX 5 7/8 07/15/36 (USD 93.97, 18-Aug-2026)

SPCX 6.65 07/15/56 (USD 88.01, 18-Aug-2026)

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For sectors rated against the Bloomberg U.S. High Yield 2% Issuer Capped Credit Index, the Bloomberg Pan-European High Yield 3% Issuer Capped Credit Index excluding Financials, the Bloomberg Pan-European High Yield Finance Index or the Bloomberg EM Asia USD High Yield Corporate Credit Index, the analyst expects the six-month total return of the sector to be less than the six-month total return of the relevant index.

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Underweight (UW): The analyst expects the six-month excess return of the issuer's index-eligible corporate debt securities to be less than the six-month expected excess return of the relevant sector.

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